Nvidia scandal will reverberate in Washington even after Huang's departure

送信者: EG US Daily 受信日時: 2026-11-13 01:50

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Nvidia scandal will reverberate in Washington even after Huang's departure. Nvidia co-founder and CEO Jensen Huang 's resignation won't solve Nvidia's burgeoning political problems in Washington.

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The immediate implication of the scandal is that it substantially increases the odds that a package of export control bills will make it through the NDAA process in December, contrary to Nvidia's lobbying so far (see Nvidia scandal increases odds of stronger export controls , 9 November 2026). The Commerce Department is also reportedly now finalizing a remote-access rule, closing the loophole Megaspeed used, on which the department has previously dragged its feet.
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The scandal, politically, is still probably in its early days; Democrats preparing their slate of congressional investigations will see this as a ready-made opportunity to criticize the Trump administration on at least three different angles (coziness to tech CEOs, China policy, and corruption). With it likely to metastasize in the coming weeks, administration figures—particularly at Commerce, including Secretary Howard Lutick and Bureau of Industry and Security head Michael Kessler—will probably be drawn into its orbit, potentially endangering their positions.
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While we don't believe that the fallout from the scandal will endanger the broader US-China relationship, and that the scheduled Trump-Xi- meetings for APEC and the G20 will hold, this is a sign that pressures could grow next year. A key watchpoint will be the extent of executive discretion that the NDAA's export-control bills will include; so long as Trump retains ultimate enforcement power, the relationship will probably stay on solid footing.

Managed US-China stability will hold under Democratic Congress. Democratic control of Congress will keep bipartisan pressures for hawkish legislation on China strong, but won't derail managed stability in the US-China relationship through 2028.

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The influence of the China Select Committee will probably decline. Incoming House Foreign Affairs Committee chairman Greg Meeks (D-NY) is eager to reassert his committee's jurisdiction over China-related legislation, and Rep. Ro Khanna (D-CA), who could become the select committee's chairman, may be spending more time on the presidential campaign trail than in Congress. These are jurisdictional battles, though, not substantive ones, and the congressional policy direction will still lean hawkish.

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Ultimately the White House will retain control over China policy—including export controls (see item above)—and Trump will remain reluctant to destabilize the relationship. In turn, China will not exploit Trump's lame-duck status to upend bilateral stability, as Beijing sees preserving bilateral stability as its overriding priority.

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For more, please see Managed US-China stability will hold after midterms , 11 November 2026.

Corporate deals to remain a feature of Trump tariffs. With the Trump administration using tariffs as a source of leverage over global companies as well as governments, corporate bargaining for exemptions has become a structural feature of the administration's trade policy.

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Although a Democratic Congress will scrutinize this practice more closely (see: Democratic investigations likely to target defense, tech, and financial firms , 5 November), a framework of corporate agreements in exchange for tariff relief will likely continue for the remainder of Trump's term.

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Company deals can now deliver greater tariff relief than country deals. Provisions in recent drone and pharmaceutical tariffs allow qualifying companies to reduce duties on affected imports from 100% to zero.

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The breadth of pharma tariff exemptions materially reduces their impact: the administration has announced deals with 26 firms, exempting 89% of US-branded pharma imports.

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For more, please see Corporate deals to remain a feature of Trump tariffs , 11 November 2026.

Quote of the Day

"We've all been waiting 20 years to be able to run corruption against the Republicans. And it was never valid before, because voters simply believe that all politicians are corrupt, and it was tough to get traction in it. But it was different in this cycle." - J.B. Poersch, president of Democratic-aligned Senate Majority PAC, speaking to the Washington Sun. While Democrats were able to capitalize on the intersection of public concern about corruption and affordability in the midterms, recent polling has indicated voters are more interested in Democrats pursuing policy changes targeting affordability and other key economic concerns.

On the Radar

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

15 December: Senator-elect Sherrod Brown (D-OH) is sworn in, reducing Republicans' Senate majority to 52-48

3 January: New Congress is sworn in

10 January: US-China tariff truce expires

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